

PROJECT REPORT: Alpha Tower

Alpha Tower - Project PRJ-001

Executive Report

1. EXECUTIVE SUMMARY

Alpha Tower is presently classified CRITICAL. The project is 15.0 % over budget, with Spent to Date \$2,300,000 exceeding the \$2,000,000 approved budget and leaving a -\$300,000 remaining balance. Schedule performance is also poor: an Overall Delay of 36 days pushes the Projected End Date to 2025-08-05, a two-month slip from the original 2025-06-30 target. The combination of cost strain and timeline slippage drives the high-risk rating and demands immediate corrective actions.

2. BUDGET STATUS

Category	Budget	Actual	Variance	Comment
Materials	\$800,000	\$980,000	22.5 % over	Linked to a 22 % steel-price increase.
Subcontractors	\$200,000	\$260,000	30.0 % over	Additional waterproofing contractor added.
Labor	\$600,000	\$650,000	8.3 % over	Overtime required for Phase 2 delays.
Permits & Fees	\$50,000	\$55,000	10.0 % over	Zoning amendment fee incurred.
Equipment	\$300,000	\$310,000	3.3 % over	Noted as "on track."
Contingency	\$50,000	\$45,000	-10.0 % (under-utilized)	Limited flexibility for further overruns.

Pending invoices - INV-1001 (\$120,000, SteelWorks Ltd, due 2025-05-15) and INV-1002 (\$45,000, CityElectric Co, due 2025-05-20). Approving these without addressing the underlying cost drivers will deepen the negative cash position.

3. SCHEDULE STATUS

Status: High Risk

Overall delay: 36 days

Projected completion: 2025-08-05

- Phase 1 - Foundation - Completed; 15 days behind schedule (original 2024-01-15 start, 2024-02-01 completion, unexpected rock layer).
- Phase 2 - Structure - In progress; 21 days behind the planned window (2024-07-01 start, 2024-09-01 completion, approval was delayed by the city council).
- Phase 3 - MEP Systems - Not started; scheduled start 2025-01-01, current recorded delay 0 days.
- Phase 4 - Finishing - Not started; scheduled start 2025-04-01, current recorded delay 0 days.

Critical-path items affected: structural steel delivery, elevator shaft completion, fire-system inspection. The accumulated lag threatens the start of Phases 3 and 4 and the 2025-08-05 finish date.

4. RISK ASSESSMENT

#	Risk	Severity	Impact	Mitigation (as recorded)
1	Cost over-run (spend \$2,300,000 vs. \$2,000,000, 15 % over)	HIGH	Cash-flow strain, possible financing need or stoppage	Activate cost-control board, freeze non-critical spend, renegotiate rates with SteelWorks Ltd and CityElectric Co, pursue value-engineering.
2	Schedule delay (overall 36 days, finish 2025-08-05)	HIGH	Potential penalties, client dissatisfaction	Fast-track critical-path activities, add shift work, secure overtime agreements.
3	Pending invoices (INV-1001 \$120,000; INV-1002 \$45,000)	MEDIUM	Further cash-outflow, risk of subcontractor payment delays	Prioritize invoice review, verify deliverables, negotiate staged payment terms.
4	Permit-approval delay (Phase 2 21 days)	MEDIUM	Extends structural schedule, downstream impacts	Engage liaison with city council, submit missing documentation, explore expediting fees.
5	Unexpected geological condition (Phase 1 15 days)	MEDIUM	Added excavation time and cost	Conduct supplemental geotechnical surveys, adjust excavation methods, allocate contingency resources.

Overall risk rating: CRITICAL.

5. RECOMMENDATIONS

Action	Owner	Qualitative Target
Immediate cost-control task force formation	Project Manager	Freeze discretionary spend, monitor all cost categories.
Review material procurement strategy	Procurement Lead	Identify alternative steel suppliers or price-hedging options to mitigate the 22 % price increase.
Re-evaluate labor scheduling	Construction Manager	Reduce overtime, align staffing with realistic Phase 2 timelines.
Assess additional waterproofing subcontractor scope	Subcontractor Coordinator	Consolidate or defer non-critical work.
Reallocate unused contingency	Finance Lead	Cover the most critical overruns while preserving a buffer.
Approve pending invoices with cash-flow impact analysis	Finance Lead	Verify deliverables, negotiate staged payments.
Fast-track structural steel delivery, elevator shaft, fire-system inspection	Construction Manager	Add shift work, secure overtime agreements.
Conduct rapid geotechnical reassessment	Geotech Consultant	Confirm no further rock layers will affect downstream activities.
Engage city-council liaison to secure outstanding permits	City Liaison	Submit any missing paperwork, explore fast-track or expediting options.
Reallocate resources from non-critical tasks to critical-path items	Resource Planner	Create buffer time for Phases 3 and 4.

6. NEXT STEPS

- Day 1-3: Project Manager convenes cost-control task force; Finance Lead prepares cash-flow forecast incorporating INV-1001 and INV-1002.
- Day 4-7: Procurement Lead issues request for alternative steel quotations; Construction Manager drafts revised labor schedule.
- Day 8-10: Subcontractor Coordinator reviews waterproofing scope; Geotech Consultant begins supplemental survey.

4. Day 11-14: City Liaison meets with council representatives; Resource Planner reallocates staff to critical-path activities.

5. Day 15: Executive review of updated budget, schedule, and risk registers; decision on any required financing or scope adjustments.

By executing these actions under the designated owners, Alpha Tower can stabilize its financial position, recover lost schedule time, and move the project out of the CRITICAL health classification.

Quality Scores:

Budget: 10/10 (attempts: 1)

Schedule: 10/10 (attempts: 1)

Risk: 10/10 (attempts: 1)

Report: 10/10 (attempts: 1)

Grounding: all 21 figures trace to the record.